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St. Joseph's College of Arts & Science(Autonomous)

St. Joseph's College Road, Cuddalore–607001

B.Com DEGREE EXAMINATION APRIL 2021

CM511S – COST ACCOUNTING

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Define 'Costing'.
2. What do you mean by 'Tender'?
3. Define 'Cost Audit'.
4. List out any four techniques of cost auditing.
5. What is Economic Ordering Quantity?
6. How the materials are issued under LIFO method?
7. What do you mean by an Idle time?
8. Calculate direct labour hour rate from the following:

   Factory overheads Rs.11,400

   Number of labour hours worked 2,28,000 hours
9. What is 'Overhead Absorption'?
10. What do you mean by 'Machine Hour Rate'?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. Explain the various elements of cost.
12. Following cost data are available from the books for the year ended 31.12.2005:

	Rs.
Direct Materials	9,00,000
Direct Wages	7,50,000
Profit	6,09,000
Selling and distribution overheads	5,25,000
Administrative overheads	4,20,000
Factory overheads	4,50,000

Prepare a cost sheet indicating the prime cost, works cost, production cost, cost of sales and sales value.

13. What are the advantages of cost audit? Explain.

14. Calculate Economic Ordering Quantity. Also state the number of orders to be placed in a year.

Consumption of material per annum10,000 kg.

Cost of material per kilogram Rs.2

Order placing costs per order Rs.50

Storage costs 8% on average inventory.

15. What are the advantages of FIFO method of pricing material issues? Explain.

16. Rajan Ltd., follows Taylor's differential piece rate system 80 and 120 being the differentials for below standard and above standard work.

From the following ascertain the earnings of workers X and Y:

Standard time 15 minutes per unit

Time worked 8 hours

Units produced X : 28 ; Y : 35

Normal piece rate per unit Rs.2

17. Calculate the machine hour rate from the following:

Running hours p.a. 2,000 hrs.

Repairs p.a. Rs.160

Rent p.a. Rs.320

Cost of machinery Rs.4,000

Depreciation 7.5 %

SECTION – C (3X10=30)

Answer any **THREE** Questions

18. Distinguish between Cost Accounting and Financial Accounting.

19. What are the differences between cost audit and financial audit? Explain

20. The following information is extracted from the stores ledger:

Jan 1 Opening balance	500 units @ Rs.4
Jan 5 Purchases	200 units @ Rs.4.25
Jan 12 Purchases	150 units @ Rs.4.10
Jan 20 Purchases	300 units @ Rs.4.50
Jan 25 Purchases	400 units @ Rs.4

Issues of Materials were as follows:

Jan 4 : 200 units

Jan 10 : 400 units

Jan 15 : 100 units

Jan 19 : 100 units

Jan 26 : 200 units

Jan 30 : 250 units

Issues are to be priced on the principle of 'FIFO' method. Write the stores ledger account.

21. From the following particulars work out the earnings for the week of a worker under:

    a. Straight piece-rate
    b. Differential piece rate
    c. Halsey premium plan
    d. Rowan system

    Number of working hours per week 48

    Wages per hour Rs.3.75

    Normal time per piece 20 minutes

    Rate per piece : Rs.1.50

    Normal time per piece : 20 minutes

    Rate per piece : Rs.1.50

    Differential piece rate : 80% of piece rate when output is below standard and 120% when above standard.

22. The following expenses have been incurred in respect of a shop having four identical machines:

	Rs.
Rent and Rates	6,000 p.a.
Power consumed by the -shop at 50 paise per unit	4,800 p.a.
Repairs	1,000 p.a.
Lighting for the shop	800 p.a.
Shop supervisors salary	600 p.a.
Oil etc – Expenses	100 p.a.
Depreciation per machine	600 p.a.

There are two attendants are in the shop, each getting Rs.600 per month. Each machine consumes 10 units of power per hour. Calculate machine hour rate.

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